

# JEB104 Microeconomics I

Lenka Št'astná

Prague, IES FSV UK, February 17, 2020

## Organization of the Course: Teachers

### Lecturer:

- Lenka Št'astná, lenka.stastna@fsv.cuni.cz
- Office hours: Monday 10:30–11:30, room 406 (IES)

### Teaching assistants:

- Petra Landovská, petra.landovska@fsv.cuni.cz
- Lenka Šlegerová, lenka.slegerova@fsv.cuni.cz
- Kateřina Chadimová, kchadimova@gmail.com (home assignments)
- Office hours: by appointment

## Organization of the Course: Structure

Weekly lectures and exercise sessions to be attended:

- 2 lectures on Monday
- Exercise session on Tuesday, Wednesday, or Thursday
- Exercise sessions for all groups instead of 2nd lecture on:  
March 2, March 23, April 27

Exceptions to regular schedule:

- Thursday, April 9: No ES (Dean's Leave) - come on Tue or Wed
- Monday, April 13: No class (Easter Monday)
- Wednesday, May 6: No ES (Rector's Day) - come on Tue or Thu

## Organization of the Course: Grading

The final grade will consist of

- activities in lectures (10%) + home assignments (10 %) + midterm exam (30 %) + final exam (50 %).
- Bounds for grades (as follows from the Dean's Provision No. 17/2019):  
 $A > 90$ ;  $90 \geq B > 80$ ;  $80 \geq C > 70$ ;  $70 \geq D > 60$ ;  $60 \geq E > 50$ ;  $50 \geq F$ .

Activities in lectures

- short quizzes using smartphones
- short exercises, applications - in small groups

Home assignments

- individually (not in groups)
- administered via Moodle

Timing:

- 1. HA released on March 9, due March 16
- 2. HA released on April 27, due May 4

Midterm exam: March 30, 12:30-13:50 and 14:00-15:20 in room 109, 2 groups

## Organization of the Course: Moodle

<https://dl1.cuni.cz/course/view.php?id=857>

- key: 'micro'
- course materials downloadable there
- announcement of news and grades
- delivering home assignments
- [Google App Moodle](#), insert the address dl1.cuni.cz and log in

# Organization of the Course: Literature

## Literature

- 'Must-read' textbook:  
Hal R. Varian, *Intermediate Microeconomics: A Modern Approach*, 8th ed.  
plenty of copies available in the IES library
- Other intermediate microeconomics textbooks, for example:  
T. Nechyba, *Microeconomics: An Intuitive Approach with Calculus*,  
South-Western, Cengage Learning  
W. Nicholson/C. Snyder, *Microeconomic Theory: Basic Principles and  
Extensions*, South-Western, Cengage Learning  
W. Nicholson/C. Snyder, *Theory and Application of Intermediate  
Microeconomics*, South-Western, Cengage Learning  
A. Schotter, *Microeconomics: A Modern Approach*, South-Western,  
Cengage Learning  
H. Gravelle/R. Rees, *Microeconomics*, Pearson Education  
R. Pindyck/D. Rubinfeld. *Microeconomics*, Pearson Education  
J. Perloff, *Microeconomics with Calculus*, Pearson Education
- Youtube videos: [Tony Cookson](#)
- Google Play apps: [Econweb](#)

# Content of the Course

## Consumer's theory

- ➊ Individuals with specific preferences facing budget constraint make choice.
- ➋ Price change  $\rightarrow$  change of optimal choice  $\rightarrow$  demand
- ➌ What is behind the change of optimal choice when price changes?
- ➍ Dual problem – individuals aim to reach given utility with minimal spending.
- ➎ We do not observe preferences, but only choices of individuals.
- ➏ Gains and losses of price changes
- ➐ Individuals with initial endowments of goods sell or/and buy goods.
- ➑ Individuals sell their labor.
- ➒ Individuals decide on consumption now and in the future.
- ➓ Outcomes of individuals' actions are uncertain.

## What is Microeconomics?

# Microeconomics



What my friends think it is



What my teacher thinks it is



What my mom thinks it is



What I think it is



What society thinks it is



What it really is

**Perception vs Fact**.com

# What is Microeconomics?

*The study of how households and firms make decisions and how they interact in specific markets* (Mankiw, G: Principles of Microeconomics).

Properties of the decision making:

- Rationality: individuals seek to do the best they can given their circumstances
- Pursuing self-interest to achieve own goal

Interaction of agents: buyer + seller, employer + employee, politician + voter

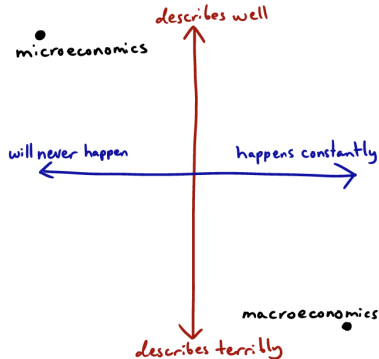
(Social) Science: formulation and testing hypothesis

<https://youtu.be/kE4UT5iIbJo>

# Microeconomics vs. Macroeconomics

## KNOW YOUR BRANCHES OF ECONOMICS:

- HOW WELL THEORY DESCRIBES SCENARIOS IT CONSIDERS
- HOW LIKELY THOSE SCENARIOS ARE TO OCCUR IN REALITY



Source: Saturday Morning Breakfast Cereal <http://www.smbc-comics.com/>

# What is Microeconomics?

Economic models

- ① Simplified
- ② Unrealistic
- ③ Mathematical

How well do theories explain the real world?

- Empirical data: statistical and econometric techniques
- Experiments

# Economic models

## Model of the market

- Demand - <https://goo.gl/forms/Zh399ssrRA3yRZBv1>
- Supply
- Equilibrium
- Comparative statics
- Pareto efficiency

# Pareto Efficiency

## Pareto Improvement

An allocation can be Pareto-improved if there exists another allocation such that at least one person is better off and nobody is worse off.

## Pareto Efficiency

An allocation is Pareto-efficient if no Pareto improvement is possible.

# Pareto Efficiency

Example



Anastasia



Frank



**Anastasia**

**Frank**

Allocation:



Pareto inefficient



Pareto efficient

# Pareto Efficiency

Pareto efficiency does not help us in many situations

- Sometimes there are more equilibria
- We need some normative criteria

Example: Imagine a mother wants to divide a stack of Halloween chocolate between two sons: Willy and Tony



Allocations:

**Willy**



**Tony**



Pareto efficient, unfair for Tony?

Pareto efficient, unfair for Willy?

Pareto efficient, fair?

# Positive vs. Normative Economics

## Positive vs. Normative Economics

Positive economists predict real outcomes of various policy alternatives, while normative economists provide with value judgements what outcomes are “good” and “bad” and provide policy recommendations.

### Example

Status quo: flat tax 15% on income

2 policy proposals:

- ❶ to increase flat tax to 16% (introducing tax benefits for poor)
- ❷ to change to progressive tax scheme

From the perspective of positive economics:

- ❶ higher income for poor, little bit lower income for middle-income and rich people
- ❷ substantially higher income for poor, no change for middle-income people, substantially lower income for rich people